CHAIN OF CUSTODY · FREE RESOURCE

The supply chain audit question bank

Twenty-five questions an auditor would ask about your supplier records and the hand-offs between your teams, with the evidence that answers each one.

25	7	1
QUESTIONS	AREAS	WORKSHEET

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ISO/IEC 27001 · 42001 · 27701 LEAD AUDITOR TRAINED

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HOW TO USE IT

A strong answer shows evidence. A weak answer describes intent.

Most supply chain controls fail quietly, at the point where a record stops matching the goods, the supplier or the team that is meant to act on it. These questions are written to find those points before a regulator, a customer or an auditor does.

They are grouped into seven areas, from knowing who you buy from to correcting past errors. You don't need to use all twenty-five at once, and the most useful starting point is usually the area you are least sure about.

1

Pick an area

Choose the four or five questions closest to a risk you already suspect.

2

Sample real transactions

Take ten recent shipments, suppliers or entries and test each question against them.

3

Ask for the evidence

Accept a document, a log or a record. A description of the process is where the work starts.

4

Record the gap and an owner

Use the worksheet at the back, with one named person and a date for every gap.

RATING EACH ANSWER

Evidenced
The evidence exists, covers the sample and was produced without notice.

Partly
Some evidence exists, but it misses part of the sample or is out of date.

Not evidenced
The answer relies on intent, memory or another team's assurance.

01 Knowing who you buy from — 4 QUESTIONS

02 What the goods are, and where they come from — 4 QUESTIONS

03 Documents that must agree — 4 QUESTIONS

04 The hand-offs between teams — 4 QUESTIONS

05 Third parties acting for you — 3 QUESTIONS

06 Data and technology — 4 QUESTIONS

07 Finding and fixing problems — 2 QUESTIONS

AREA 1 OF 7

Knowing who you buy from

Supplier onboarding and change

Q01

Can you show who ultimately owns and controls each critical supplier, and when that was last checked?

EVIDENCE THAT ANSWERS IT

- A beneficial ownership record for each critical supplier, with its source and date
- Sanctions screening results against the UK, EU and US lists
- A re-screening schedule, and evidence of its last run

WARNING SIGN

> Ownership was captured once at onboarding and never refreshed.

ANCHORED IN · Home Office guidance on failure to prevent fraud (due diligence) · OFSI and OFAC sanctions guidance

Q02

Does each supplier contract give you the right to obtain the documents your own regulators may ask for, including the supplier's export filings?

EVIDENCE THAT ANSWERS IT

- A contract clause on record access and retention
- A test request made to a supplier, and the answer it produced
- A list of suppliers whose contracts lack the clause

WARNING SIGN

> The right is assumed, and has never been exercised.

ANCHORED IN · ISO 9001:2015 clause 8.4.3, Information for external providers · CBP advance notice on supply chain visibility, September 2026

Q03

When a supplier changes factory, sub-supplier or ownership, how do you find out, and how quickly?

EVIDENCE THAT ANSWERS IT

- A contractual duty on the supplier to notify changes
- A change log comparing the date notified with the date the change took effect
- The re-assessments each change triggered

WARNING SIGN

> Changes are discovered from shipping documents after the goods have moved.

ANCHORED IN · ISO/IEC 27001:2022 Annex A 5.22, Monitoring, review and change management of supplier services · ISO 9001:2015 clause 8.4

Q04

Which suppliers are rated high risk, on what criteria, and does the rating change what you check?

EVIDENCE THAT ANSWERS IT

- Documented risk criteria and the resulting supplier tiers
- Evidence that high-risk suppliers receive extra checks, such as audits or sampling
- The date each rating was last reviewed

WARNING SIGN

> Every supplier answers the same questionnaire, whatever its risk.

ANCHORED IN · Home Office guidance on failure to prevent fraud (risk assessment, proportionate procedures)

AREA 2 OF 7

What the goods are, and where they come from

Origin, classification and forced labour

Q05

For a sample of imports, can you trace the declared country of origin back to evidence from the producer?

EVIDENCE THAT ANSWERS IT

- Supplier origin declarations covering the goods and dates
- The bill of materials and the processing location for the goods
- A record of your own review before the origin was declared

WARNING SIGN

> Origin is copied from the commercial invoice.

ANCHORED IN · 19 CFR Part 134, country of origin marking · UK–EU Trade and Cooperation Agreement, rules of origin chapter

Q06

If you claim preferential duty under a trade agreement, who holds the evidence behind the claim, and could you produce it within days?

EVIDENCE THAT ANSWERS IT

- Supplier declarations with their validity periods
- The file supporting any claim made on the importer's knowledge
- Verification requests received, and how they were answered

WARNING SIGN

> Preference is claimed by the broker by default, and nobody holds the evidence.

ANCHORED IN · UK–EU Trade and Cooperation Agreement, rules of origin chapter

Q07

Who signs off the tariff classification of a new product, and is the reasoning written down?

EVIDENCE THAT ANSWERS IT

- Classification decisions recorded with their rationale
- Advance tariff rulings, where obtained
- A trigger to review the classification when the product specification changes

WARNING SIGN

> The classification is inherited from the supplier's paperwork.

ANCHORED IN · HMRC Advance Tariff Rulings · World Customs Organization Harmonized System

Q08

Can you show that inputs at high risk of forced labour were checked before you bought them?

EVIDENCE THAT ANSWERS IT

- Screening of inputs by product and region
- Traceability from the finished product back to its raw materials
- A product-level evidence file for each high-risk product

WARNING SIGN

> There is a policy statement and a supplier code of conduct, and no evidence at product level.

ANCHORED IN · Modern Slavery Act 2015, section 54 · EU Forced Labour Regulation (EU) 2024/3015, applying from 14 December 2027 · US Uyghur Forced Labor Prevention Act

AREA 3 OF 7

Documents that must agree

Reconciling the record with the goods

Q09

For a sample of shipments, do the purchase order, commercial invoice, packing list, customs entry and goods receipt agree on quantity, value and description?

EVIDENCE THAT ANSWERS IT

- Reconciliation workpapers for the sample
- A log of the differences found
- How, and by whom, each difference was closed

WARNING SIGN

> Each document is checked by a different team, and nobody compares them.

ANCHORED IN · ISO 9001:2015 clause 8.4.2, Type and extent of control

Q10

When the price paid differs from the value declared, who corrects the customs declaration?

EVIDENCE THAT ANSWERS IT

- A procedure for post-entry amendments and disclosures
- Examples of corrections made after price adjustments, rebates or assists
- A routine report from finance to trade compliance

WARNING SIGN

> Price adjustments are settled in finance and never reach customs.

ANCHORED IN · HMRC Notice 252, valuation of imported goods · 19 CFR 162.74, prior disclosure

Q11

Could you produce the full record for any entry from the last five years, including the documents your broker holds?

EVIDENCE THAT ANSWERS IT

- A retention policy by record type
- A test retrieval of randomly chosen entries
- The broker's retention and hand-back terms

WARNING SIGN

> The records sit with the broker, and nobody has ever asked for them.

ANCHORED IN · 19 CFR Part 163, recordkeeping · HMRC customs record-keeping requirements

Q12

Are goods received checked against what was declared to customs as well as against the purchase order?

EVIDENCE THAT ANSWERS IT

- Goods-in checks against the shipping documents
- Discrepancy reports routed to trade compliance
- Examples where a short or substituted delivery led to a corrected declaration

WARNING SIGN

> Short or substituted goods are resolved with the supplier and never with customs.

ANCHORED IN · 19 CFR 162.74, prior disclosure · ISO 9001:2015 clause 8.6, Release of products and services

AREA 4 OF 7

The hand-offs between teams

Where controls go missing

Q13

When procurement onboards a supplier, what does trade compliance receive, and when?

EVIDENCE THAT ANSWERS IT

- The workflow showing the hand-off and its timing
- The checklist trade compliance completes
- Examples where trade compliance stopped or changed an onboarding

WARNING SIGN

> Trade compliance learns about a new supplier from its first shipment.

ANCHORED IN · UK Corporate Governance Code 2024, Provision 29 (material controls)

Q14

If receiving, finance and customs each record a different quantity, whose figure prevails, and who records why?

EVIDENCE THAT ANSWERS IT

- A defined escalation route for mismatches
- Three-way match exceptions and their resolution
- A decision log naming who decided

WARNING SIGN

> The difference is written off without anyone tracing which record was wrong.

ANCHORED IN · ISO 9001:2015 clause 10.2, Nonconformity and corrective action

Q15

Who owns each control that spans two teams, by name, and does each team know it?

EVIDENCE THAT ANSWERS IT

- A control register with a named owner for every cross-team control
- Owner attestations or sign-offs
- Evidence that both teams were told

WARNING SIGN

> The register lists a team or a system as the owner.

ANCHORED IN · UK Corporate Governance Code 2024, Provision 29 · ISO/IEC 27001:2022 Annex A 5.2, Information security roles and responsibilities

Q16

When someone in the chain leaves or changes role, how are their supplier knowledge and open issues handed over?

EVIDENCE THAT ANSWERS IT

- Handover records for leavers and movers
- Timely removal of system access
- Open exceptions reassigned to a named person

WARNING SIGN

> Open issues leave with the person.

ANCHORED IN · ISO/IEC 27001:2022 Annex A 5.11, Return of assets, and 6.5, Responsibilities after termination or change of employment

AREA 5 OF 7

Third parties acting for you

Brokers, forwarders and intermediaries

Q17

What instructions does your customs broker work from, and when did you last review what it declared in your name?

EVIDENCE THAT ANSWERS IT

- Written broker instructions covering classification, valuation, origin and preference
- A periodic review of a sample of the broker's entries
- The findings of that review, and what changed

WARNING SIGN

> The broker's entries are trusted because they have never been questioned.

ANCHORED IN · 19 CFR Part 111, customs brokers · Home Office guidance on failure to prevent fraud (associated persons)

Q18

Which agents, forwarders and intermediaries act on your behalf, and are they covered by your fraud and bribery procedures?

EVIDENCE THAT ANSWERS IT

- A register of associated persons
- Contract clauses and due diligence for each
- Training or attestations, where proportionate

WARNING SIGN

> The register covers suppliers and leaves out the intermediaries.

ANCHORED IN · Economic Crime and Corporate Transparency Act 2023, section 199 · Bribery Act 2010, section 7

Q19

Can you see the evidence your logistics providers hold about where your goods were, and when?

EVIDENCE THAT ANSWERS IT

- Access to tracking and custody data, with its retention period
- Exception reports for delays, transfers and seal breaks
- Terms for handing the data back when the contract ends

WARNING SIGN

> Custody data exists only in the provider's system and disappears with the contract.

ANCHORED IN · ISO 28000:2022, Security and resilience: security management systems

AREA 6 OF 7

Data and technology

From the triangle: IoT, AI and the record

Q20

Where sensor or tracking data supports a compliance claim, how do you know the device was working and the data unaltered?

EVIDENCE THAT ANSWERS IT

- Device calibration and health records
- Integrity controls on the data as it moves
- Logs of who accessed or changed it

WARNING SIGN

> The data is accepted because it came from a machine.

ANCHORED IN · ISO/IEC 27400:2022, IoT security and privacy · ISO/IEC 27001:2022 Annex A 8.15, Logging

Q21

If an AI or automated tool screens suppliers, transactions or documents, who reviews its results, and how are its errors found?

EVIDENCE THAT ANSWERS IT

- An inventory of the tools and what each decides
- Records of human review
- Testing for missed cases and false alarms, and a change log for the rules or models

WARNING SIGN

> Nobody can say what the tool has missed.

ANCHORED IN · ISO/IEC 42001:2023 · EU AI Act, Regulation (EU) 2024/1689, where the use is in scope

Q22

For records shared on a common platform or ledger, who can write to them, and can a correction be told apart from the original entry?

EVIDENCE THAT ANSWERS IT

- Defined write permissions
- An audit trail that keeps the original alongside each amendment
- Reconciliation of the shared record with the source documents

WARNING SIGN

> Corrections overwrite the record and leave no trace.

ANCHORED IN · ISO/IEC 27001:2022 Annex A 5.33, Protection of records, and 8.15, Logging

Q23

Where personal data is collected along the chain, from drivers, workers or sensors, are its purpose and retention defined?

EVIDENCE THAT ANSWERS IT

- Records of processing that cover supply chain data
- Privacy notices for the people concerned
- A retention schedule, and evidence it is applied

WARNING SIGN

> Location and identity data is kept indefinitely because it might be useful.

ANCHORED IN · UK GDPR, Article 30 · ISO/IEC 27701

AREA 7 OF 7

Finding and fixing problems

Monitoring, correction and disclosure

Q24

Is there one log of the exceptions found across procurement, receiving, finance and customs, and does anyone review it?

EVIDENCE THAT ANSWERS IT

- An exceptions log with owner, root cause and closure date
- Minutes of the reviews that considered it
- Trends reported to management

WARNING SIGN

> Each team keeps its own list, and nobody sees the pattern.

ANCHORED IN · ISO 9001:2015 clause 9.3, Management review · Home Office guidance on failure to prevent fraud (monitoring and review)

Q25

When an error is found in past declarations, how is the decision made to correct or disclose it, and how quickly?

EVIDENCE THAT ANSWERS IT

- A written correction and disclosure procedure
- Records of each decision and who made it
- Time taken from discovery to correction

WARNING SIGN

> Errors are fixed for future shipments and never corrected for past ones.

ANCHORED IN · 19 CFR 162.74, prior disclosure · HMRC guidance on correcting errors in import declarations

WORKSHEET

Gaps, owners and dates

Tick one box for each question tested: evidenced, partly, or not evidenced. Every gap gets one named owner and a date.

NO.	QUESTION	E	P	N	GAP FOUND	OWNER	DUE
Q01	Ultimate ownership checked and current	☐	☐	☐			
Q02	Contract right to supplier documents	☐	☐	☐			
Q03	Notice of supplier changes	☐	☐	☐			
Q04	Risk rating changes the checks	☐	☐	☐			
Q05	Origin traced to the producer	☐	☐	☐			
Q06	Evidence behind preference claims	☐	☐	☐			
Q07	Classification decisions recorded	☐	☐	☐			
Q08	Forced labour checks on high-risk inputs	☐	☐	☐			
Q09	Shipment documents reconcile	☐	☐	☐			
Q10	Price changes reach customs	☐	☐	☐			
Q11	Five years of records retrievable	☐	☐	☐			
Q12	Receipts checked against the declaration	☐	☐	☐			
Q13	Procurement to trade compliance hand-off	☐	☐	☐			
Q14	Conflicting quantities resolved	☐	☐	☐			
Q15	Named owners for cross-team controls	☐	☐	☐			
Q16	Handover when people move	☐	☐	☐			
Q17	Broker instructions and review	☐	☐	☐			
Q18	Intermediaries covered by procedures	☐	☐	☐			
Q19	Access to logistics custody data	☐	☐	☐			
Q20	Sensor data integrity	☐	☐	☐			
Q21	Review of AI and automated screening	☐	☐	☐			
Q22	Write access and audit trail on shared records	☐	☐	☐			
Q23	Purpose and retention of personal data	☐	☐	☐			
Q24	One reviewed exceptions log	☐	☐	☐			
Q25	Correcting and disclosing past errors	☐	☐	☐			

E = evidenced, P = partly, N = not evidenced.

ABOUT

Chain of Custody

Chain of Custody is a weekly newsletter on governance, risk and compliance for supply chains, written from the first line of defence, where the controls actually get run. Each issue takes one story where the record and the reality may come apart, sets the audit question it raises, and adds four more reads from regulators, courts, law firms and the trade press.

It also treats blockchain, AI and IoT as one infrastructure that has to be assured as one: IoT captures what physically happened, AI analyses it, and blockchain secures the record, each governed through its own management system standard, ISO/IEC 27701, ISO/IEC 42001 and ISO/IEC 27001.

Kelroy James is a supply chain professional with Lead Auditor training in ISO/IEC 27001, ISO/IEC 42001 and ISO/IEC 27701.

IF THIS WAS USEFUL

Pass it to one colleague who runs a control you depend on.

They can get their own copy, and the weekly issue, at chainofcustody.beehiiv.com

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